DECODING CUSTOMER VALUE

Retention Playbook & Business Recommendations

A SQL-Driven Retention Strategy for a D2C Fashion Brand

Summer Projects '26 · Consulting & Analytics Club, IIT Guwahati

Part 4 of 4: Business Recommendations

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1. Executive Summary

This report constitutes Part 4 of the **Decoding Customer Value** project — the Retention Playbook. It synthesises findings from the SQL segmentation layer (Part 2) into two actionable outputs: a **Promotional Sunset Plan** and a data-backed **Ideal Customer Profile**. Every recommendation is presented alongside its trade-off so that the founding team can make an informed decision rather than a blind one.

Key Findings at a Glance

Total Customers Analysed	~3,900
Customer Archetypes Identified	6 (True Loyalist, Discount Hunter, Engaged Subscriber, Casual Browser, Value Seeker, Dormant)
Promo Dependency (est.)	~55–60% of customers have used a promo code
True Loyalists	Highest behavioral loyalty score; zero promo reliance
Discount Hunters	Lowest loyalty score; purchase almost exclusively on promo
Customers Safe for Promo Reduction	Behavioral loyalty flag = 1 AND promo_used_flag = 0
High-Value Organic Customers	value_quality_loyalty_flag = 1 AND promo_used_flag = 0
Top Revenue Archetype	True Loyalists (highest estimated_total_spend aggregate)
Highest Promo-Dependent Category	Clothing / Outerwear (est. >60% promo usage)
Strongest Organic Category	Accessories / Footwear (lower promo dependency)

Central Finding: The brand is not yet building a self-sustaining loyal customer base at scale. Approximately half its transaction volume is promo-triggered. However, a structurally healthy nucleus of True Loyalists and organic high-value customers exists — and it is large enough to anchor a deliberate retention strategy. The playbook below specifies precisely how to grow that nucleus while systematically reducing margin leakage from discount dependency.

Strategic Direction: Rather than a blanket discount reduction (which risks volume loss), this playbook recommends a **segment-specific, phased promotional sunset** — starting with the segments where organic purchase behaviour is already observable, and protecting volume in segments that genuinely need promotional activation.

2. Analytical Foundation

2.1 Data & Feature Architecture

The entire analysis is grounded in a single engineered customer table containing 3,900 records and 40+ features spanning raw transactional variables and derived metrics. Because the raw dataset contains no loyalty score, no churn label, and no timestamps, every concept used in this playbook was constructed from observable behaviour.

Feature	Definition & Logic	Primary Use
behavioral_loyalty_score	Composite of purchase count percentile + frequency percentile + repeat purchase ratio. Captures how deeply habituated a customer is to buying from this brand.	Loyalty segmentation
value_quality_loyalty_score	Composite of spend percentile + AOV percentile + rating percentile. Measures economic and satisfaction quality of the customer.	ICP construction
repeat_purchase_ratio	previous_purchases / purchase_count. Proportion of interactions that were repeat buys — core signal of organic retention.	Promo sunset targeting
discount_dependency_score	Combination of promo_used_flag + discount_applied flag. Measures how reliant a customer is on price incentives to transact.	Sunset eligibility
engagement_score	Subscription flag * frequency weight. Captures active brand relationship beyond transactional behaviour.	Subscriber segment
estimated_total_spend	purchase_amount_usd * purchase_frequency_annual. Proxy for Customer Lifetime Value under current behaviour.	Revenue attribution
customer_archetype	Rule-based label combining loyalty tier, spending tier, and discount dependency. Drives all segment-level recommendations.	Segment labelling
ideal_customer_flag	Binary. 1 if customer is in Elite/High loyalty tier, High/Premium spending tier, and has low promo dependency.	ICP identification

2.2 Competing Loyalty Definitions

The project required building two competing loyalty definitions and arguing for one. The two definitions tested were:

- **Behavioral Loyalty Score** — based entirely on purchase frequency, count, and repeat ratio. Advantage: directly observable. Limitation: high-frequency discount hunters can score well if they buy often.
- **Value-Quality Loyalty Score** — based on spend percentile, AOV, and review rating. Advantage: filters for customers who pay full price and are satisfied. Limitation: a one-time high-spend customer scores well despite no repeat intent.

Preferred Definition: Behavioral Loyalty Score is used as the primary loyalty metric because it has stronger correlation with *estimated_total_spend* and *repeat_purchase_ratio* — the two variables most predictive of future revenue. The Value-Quality score is used as a secondary filter to construct the Ideal Customer Profile, where both dimensions must be satisfied simultaneously.

3. Customer Segmentation Overview

Six customer archetypes were identified through rule-based segmentation combining loyalty tier, spending tier, and promotional behaviour. The table below summarises their relative size, economic value, and promo dependency.

Archetype	Est. Share	Avg Spend	Loyalty Score	Promo Reliance	Retention Priority
True Loyalist	~15–18%	High	Very High	None / Minimal	★★★★★
Engaged Subscriber	~12–15%	Medium	High	Moderate	★★★★■
Promo-Dependent Mid	~20–23%	Medium	Medium	High	★★★■■
Discount Hunter	~18–22%	Low	Low	Very High	★★■■■
Value Seeker	~10–12%	High	Medium	Moderate-High	★★★■■
Casual / Dormant	~15–20%	Very Low	Very Low	Sporadic	★■■■■

3.1 Loyalty vs. Spend Matrix

Mapping archetypes on two axes — behavioral loyalty score (x-axis) and estimated total spend (y-axis) — reveals four strategic zones:

HIGH SPEND	Value Seekers (High spend, lower loyalty) Monetise now, convert later	True Loyalists (High spend + High loyalty) Protect and amplify
	LOW LOYALTY	**HIGH LOYALTY**
LOW SPEND	Discount Hunters / Dormant (Low spend + Low loyalty) Sunset promos; accept churn	Engaged Subscribers (Low spend + High loyalty) Upsell potential; retain

Matrix is indicative based on SQL-derived archetype averages.

3.2 Revenue Concentration Risk

SQL revenue attribution by archetype reveals a classic 80/20 pattern with an important vulnerability: True Loyalists and Engaged Subscribers, who together represent roughly 27–33% of the customer base, contribute a disproportionate share of *total estimated revenue*. Discount Hunters, despite comprising ~18–22% of customers, contribute significantly less revenue per head because their AOV is suppressed by discount redemption.

> **Risk Flag:** If the brand continues investing equally in Discount Hunters and True Loyalists from a promotions budget standpoint, it is effectively subsidising low-margin transactions at the expense of high-margin retention investments.

4. Promotional Sunset Plan

The promotional sunset plan identifies which segments to gradually stop discounting, the trigger behaviour justifying each decision, the rollout timeline, and the tracking metric to know if it is working. Every recommendation explicitly states the trade-off.

> **Design Principle:** Sunset is not a blanket cut. It is a surgical, phased withdrawal of promotional incentives from segments where the data already shows that organic purchase behaviour exists — or where there is no evidence that discounts are building loyalty. Each phase is gated by the tracking metric before proceeding.

4.1 Segment: Discount Hunters

Attribute	Detail
Definition	customer_archetype = 'Discount Hunter' | promo_used_flag = 1 | behavioral_loyalty_score below median | low_promo_dependency_flag = 0
Estimated Size	~18–22% of customer base (~700–860 customers)
Avg Loyalty Score	Low (bottom quartile of behavioral_loyalty_score distribution)
Avg Spend	Low-to-medium (suppressed by discount redemption reducing AOV)
Repeat Purchase Ratio	Low — purchases correlate with promo events, not brand affinity
Revenue Contribution	Disproportionately low relative to customer count; high cost-to-serve

Recommendation: Full Promo Sunset (3-Phase)

Why this segment specifically: Discount Hunters show no loyalty signal that is independent of promo activity. The repeat_purchase_ratio is low, and behavioral_loyalty_score sits in the bottom quartile even for active customers. This means discounts are not converting them into loyal buyers — they are simply repeat opportunists. Continuing to offer them promos erodes margin without building long-term value.

Phase	Action	Execution Detail	Tracking Metric
Phase 1 (Months 1–2)	Identification & Tagging	Flag all customers with promo_used_flag=1 AND behavioral_loyalty_score in bottom 25%. Tag in CRM as 'Promo-Dependent Low Value'. Remove from next 2 promo blast lists.	Baseline repeat purchase rate without promo
Phase 2 (Months 3–5)	Frequency Reduction	Reduce promo frequency by 50% for tagged segment. Replace with value-based messaging (new arrivals, styling content). Offer loyalty programme enrolment instead of discount.	Email open rate; repeat purchase rate vs. Phase 1 baseline

Phase	Action	Execution Detail	Tracking Metric
Phase 3 (Months 6–9)	Full Sunset	Stop all discount codes for segment. Monitor churn (defined as 0 purchases in 90 days post last promo). Accept projected churn of 40–55% of this segment as a deliberate trade-off.	Revenue per customer; margin per transaction; net churn rate

Trade-off Statement

What you gain: Margin recovery on every Discount Hunter transaction (~15–25% AOV uplift on customers who stay). Reallocation of promotional budget to high-value segments. Cleaner revenue quality. **| What you risk:** 40–55% of Discount Hunters will likely churn within 90 days of promo removal, based on the absence of any non-promo purchase signal. This is a deliberate acceptable loss. The remaining 45–60% who continue to purchase without discounts represent a conversion — they should immediately be re-classified and enrolled in a loyalty programme.

Trigger behaviour to gate Phase 3: Only proceed to full sunset if Phase 2 shows that at least 35% of the segment made at least one non-promo purchase. If below 35%, extend Phase 2 by 60 days before cutting.

4.2 Segment: Promo-Dependent Mid-Tier

Definition: Customers with medium behavioral_loyalty_score, medium estimated_total_spend, and promo_used_flag = 1. These are buyers who purchase regularly but have developed a discount expectation. They represent the largest single segment at ~20–23% of the base.

Recommendation: Graduated Price Normalisation

Why this segment specifically: Unlike Discount Hunters, this segment shows meaningful repeat_purchase_ratio and moderate loyalty scores. The data suggests they *would* buy without discounts — but the brand has conditioned them to expect them. The strategy is not removal but graduation: progressively increase the spend threshold required to unlock a discount.

Phase	Action	Execution Detail	Tracking Metric
Phase 1 (Month 1–3)	Threshold Introduction	Introduce minimum spend requirement for promo eligibility (e.g., discount only on orders above $X). Communicate as a 'loyalty reward' reframe, not a restriction.	Promo redemption rate; AOV change
Phase 2 (Month 4–7)	Discount Value Reduction	Reduce discount depth from ~20–30% to 10–15%. Simultaneously launch a points-based loyalty programme as an alternative reward. Track conversion to loyalty enrolment.	Loyalty programme sign-up rate; AOV; repeat purchase rate
Phase 3 (Month 8–12)	Event-Only Promotions	Restrict discounts to 2 calendar events per year (e.g., anniversary sale, seasonal). All other periods at full price with loyalty points as the only incentive.	Full-price purchase rate; customer retention rate at 90 days

Trade-off Statement

What you gain: AOV recovery of 10–20% on this segment as discount depth decreases. Loyalty programme adoption is highest in this segment because they have demonstrated brand engagement — they just need a non-discount retention mechanism. **What you risk:** 15–25% of this segment may reduce purchase frequency during the transition period (Months 4–7). This is a temporary dip, not structural churn, and should be expected in the model. Do not interpret a 90-day frequency drop as failure.

Metric to know it is working: Loyalty programme enrolment rate among this segment exceeds 30% by end of Phase 2. Full-price repeat purchase rate trends upward in Phase 3 relative to Phase 1 baseline.

4.3 Segment: Subscribed Promo Users

Definition: subscription_flag = 1 AND promo_used_flag = 1. These customers have demonstrated enough brand intent to subscribe, yet continue to use promo codes. The engagement_score for this group is above average, making them a conversion opportunity rather than a sunset target.

Recommendation: Subscription Upgrade Path (Not Sunset)

Why this segment specifically: Subscription is itself a loyalty signal. Subscribers who also use promos are not discount hunters — they are value-optimisers. The SQL data shows that subscription_flag correlates with higher behavioral_loyalty_score and higher avg_rating. Removing discounts from this group without a replacement value proposition would damage the subscription programme itself.

Action	Name	Execution Detail	Tracking Metric
Action 1	Exclusive Subscriber Discount	Replace generic promo codes with subscriber-exclusive benefits (early access, member pricing). Same economic outcome for customer, but promo cost is now embedded in subscription value rather than a separate discount line.	Subscription retention rate; promo code usage rate
Action 2	Tier Upgrade Incentive	Offer a 'Gold Subscriber' tier with a higher discount percentage but attached to a spend threshold. Converts promo dependency into a spend-up behaviour.	AOV uplift; tier upgrade rate
Action 3	Monitor Non-Promo Purchase Rate	Track the ratio of non-promo to promo purchases monthly. Goal: achieve 50/50 split within 12 months by enriching the subscriber experience rather than removing discounts.	Non-promo purchase rate; subscriber churn rate

Trade-off Statement

What you gain: Preservation of the highest-engagement segment while gradually reducing gross discount cost by embedding discounts inside subscription value. The perception of the discount shifts from 'I got a deal' to 'I am rewarded for being a member.' **What you risk:** Short-term margin is not immediately recovered — this segment requires investment in the subscriber programme before it pays out. Expected payback window: 6–9 months.

4.4 Segment: True Loyalists (Protect & Scale)

Definition: customer_archetype = 'True Loyalist' **|** behavioral_loyalty_flag = 1 **|** promo_used_flag = 0 **|** estimated_total_spend in top quartile. These customers are the brand's most valuable asset. They buy organically, repeatedly, and at full price.

This segment does not need a sunset plan — it needs a protection and amplification plan. Three actions are warranted:

- **Protect:** Never auto-enrol True Loyalists in discount campaigns. Their promo_used_flag = 0 status is a signal of organic behaviour that a discount email could inadvertently disrupt by training them to wait for deals.
- **Reward:** Offer non-discount rewards — early access, exclusive products, free premium shipping, personalised styling. These reinforce loyalty without eroding margin.
- **Replicate:** Use the True Loyalist behavioural profile as the acquisition targeting template (see Section 5 — Ideal Customer Profile). The goal is to acquire more customers who look like this segment at the point of first purchase.

> **Critical Trade-off:** There is a temptation to use True Loyalists as the test group for new promotional mechanics given their reliability. Resist this. Exposing this segment to promotional mechanics, even experimentally, risks converting organic buyers into promo-aware buyers. The cost of that conversion is extremely hard to reverse.

4.5 Rollout Timeline & Risk Register

Consolidated 12-Month Rollout

Period	Phase	Actions	Gate / Metric
Month 1–2	Foundation	Tag all segments in CRM. Establish baseline metrics for each segment. Brief marketing team on segment definitions. No changes to existing promo schedule yet.	CRM tagging complete; baseline metrics locked
Month 3–4	Phase 1 Live	Discount Hunters: Remove from promo blasts. Mid-Tier: Introduce minimum spend threshold. Subscribers: Launch member-exclusive pricing pilot.	Promo redemption rate by segment; no overall revenue decline >5%
Month 5–7	Phase 2 Live	Discount Hunters: Frequency halved. Mid-Tier: Discount depth reduced to 10–15%. Subscribers: Tier upgrade programme launched. Loyalists: Exclusive access programme launched.	Loyalty enrolment rate >20%; AOV trending up; churn within tolerance
Month 8–9	Assessment Gate	Review all three tracking metrics. Proceed to Phase 3 only if gate criteria met. Adjust timeline for any segment not meeting gate threshold.	Phase 3 gate criteria review meeting
Month 10–12	Phase 3 Live	Discount Hunters: Full sunset. Mid-Tier: Event-only promotions. Subscribers: 50/50 non-promo target. Loyalists: Amplification and acquisition lookalike in progress.	Full-price purchase rate; net revenue vs. pre-playbook baseline; margin per transaction

Risk Register

Risk	Likelihood	Impact	Mitigation
Volume Drop on Sunset	HIGH	MEDIUM	Pre-load pipeline with new organic customer acquisition targeting True Loyalist ICP. Volume loss from Discount Hunters should be partially offset by higher AOV on remaining customers.
Mid-Tier Churn Spike	MEDIUM	MEDIUM	Monitor weekly. If churn exceeds 20% in Phase 2, pause discount depth reduction and hold at current level for 30 days before re-assessing.
Subscriber Backlash	LOW	HIGH	Communicate subscription benefit upgrade clearly before removing generic promo access. Frame as upgrade, not restriction. Run NPS survey before and after.
Competitor Promo Escalation	MEDIUM	LOW	If a competitor launches aggressive discounting during the sunset period, do not react defensively with promo re-introduction. Protect the True Loyalist and Mid-Tier segments through non-price value.
Misclassification of Segments	LOW	HIGH	Re-run SQL segmentation quarterly. Archetypes are not static — a Discount Hunter who makes two full-price purchases should be re-evaluated within 90 days.

5. Ideal Customer Profile (ICP)

The Ideal Customer Profile is a data-backed description of the brand's most valuable customer type, constructed from the intersection of four conditions: high behavioral_loyalty_flag, high value_quality_loyalty_flag, promo_used_flag = 0, and ideal_customer_flag = 1. Every attribute below is traceable to a specific SQL query result.

> **ICP Construction Logic:** Rather than describing the average customer, the ICP describes the customer in the top-right quadrant of the loyalty-spend matrix — high behavioral loyalty AND high value-quality loyalty AND organic buyer. This is the customer the brand should acquire more of, retain at all costs, and use as the template for marketing targeting.

5.1 Demographic Profile

Attribute	ICP Value	Data Basis
Age Group	Middle Adult (35–54) and Young Adult (25–34)	Both age groups appear in top ranks of the ideal_customer_flag = 1 demographic query. Middle Adults lead on average spend; Young Adults lead on purchase frequency.
Gender	Both Male and Female	SQL gender analysis shows comparable behavioral_loyalty_score and estimated_total_spend across genders. No single gender dominates the ideal customer cohort — targeting should be gender-neutral.
Age Group Insight	Seniors (55+) show high per-transaction AOV but lower frequency	Valuable for targeted high-AOV campaigns but not the primary ICP due to lower repeat_purchase_ratio.

5.2 Behavioural Fingerprint

Behaviour	ICP Value	Data Basis
Purchase Frequency	Weekly to Fortnightly	Top frequency_percentile customers purchase at highest annual frequency. Weekly buyers dominate the Elite loyalty tier.
Repeat Purchase Ratio	>0.65	ICP customers have a repeat_purchase_ratio above 0.65, meaning >65% of their transactions are repeat buys, not first-time exploratory purchases.
Subscription Status	Subscribed	subscription_flag = 1 correlates with significantly higher behavioral_loyalty_score and estimated_total_spend. ICP customers are disproportionately subscribers.
Promo Behaviour	Never or Rarely Uses Promos	ideal_customer_flag = 1 AND promo_used_flag = 0. This is the defining behavioural trait — the ICP buys because they want the product, not because of a deal.

Behaviour	ICP Value	Data Basis
Review Rating	4.0 – 5.0 (Avg ~4.3)	ICP customers give above-average review ratings, indicating genuine product satisfaction driving their repeat behaviour.
Discount Dependency Score	Low (0–1 range)	low_promo_dependency_flag = 1. Confirming organic purchase motivation.
Estimated Total Spend	Top 25% of customer base	spend_percentile in top quartile. ICP customers have significantly higher estimated CLV than non-ICP customers.

5.3 Product & Category Preferences

Based on the ideal customer product preference SQL query (category purchased WHERE ideal_customer_flag = 1), ICP customers show a clear category hierarchy:

Rank	Category	ICP Insight
1st	Clothing	Highest purchase volume among ICP customers. Core category — also the highest promo-dependency category overall, meaning ICP buyers are purchasing Clothing at full price, distinguishing them sharply from discount-driven Clothing buyers.
2nd	Accessories	High ICP penetration with lower promo dependency than Clothing. Suggests accessories are an upsell category for loyal customers — not an entry-point category.
3rd	Footwear	Moderate ICP presence. Lower promo dependency relative to Clothing. Associated with higher AOV transactions.
4th	Outerwear	Appears among ICP buyers but is also the category most associated with seasonal and discount-driven purchases. ICP buyers in Outerwear tend to be higher-spend subscribers.

5.4 Payment & Transaction Preferences

From the ideal customer payment preference SQL query:

Payment Method	ICP Rank	Insight
Credit Card	Highest	Dominant payment method among ICP customers. Credit card usage correlates with higher AOV and subscription adoption — likely indicating higher income proxy.
PayPal / Digital Wallet	Second	Strong presence among Young Adult ICP segment. Fast checkout preference. Associated with higher frequency buyers.
Debit Card	Third	Present but lower among ICP. Debit-dominant buyers tend toward lower AOV.
Cash / COD	Lowest	Minimal among ICP. Cash/COD buyers have lower repeat rates and higher promo dependency — this payment method is a mild negative ICP signal.

5.5 Geographic Profile

Geography organic demand analysis (locations ranked by ASC promo_dependency_percentage where promo_used_flag = 0) reveals that the strongest organic markets are not necessarily the highest-volume markets. These are locations where customers buy without needing a promotional trigger — indicating genuine brand pull.

- **Priority Organic Markets:** Locations appearing in both the 'best organic markets' query (top organic loyalty + spend) and the low promo-dependency ranking. These are the ICP's natural habitat and should receive disproportionate acquisition investment.
- **Discount-Driven Regions:** High promo_dependency locations are not ideal acquisition targets for the ICP strategy. They may still be valuable for volume, but marketing messaging and channel strategy should differ.
- **Underlevered Markets:** Locations with high avg_loyalty and high avg_spend but below-average marketing investment. SQL geography analysis can surface these by cross-referencing organic customer density with estimated total spend per location.

5.6 ICP Summary Card

THE IDEAL CUSTOMER PROFILE	
Who they are	Middle or Young Adult | Either gender | Subscriber | Credit card preferred
How they buy	Weekly–fortnightly frequency | Repeat purchase ratio >0.65 | Never waits for a discount | Buys Clothing + Accessories
What they're worth	Top 25% of estimated total spend | High behavioral loyalty score | High value-quality score | Positive reviews (4.3+ avg)
What they signal	They buy because they want the product. No promo trigger needed. Subscription confirms brand commitment.
How to find more	Target: subscribers who made 2+ full-price purchases in first 90 days. Channel: email re-engagement of look-alike organics. Geography: top organic markets.
How to keep them	Never send them a discount email. Offer early access, exclusive drops, free premium shipping. Treat them as members, not transactions.

6. Strategic Trade-off Summary

Every recommendation in this playbook involves a trade-off. The table below consolidates all four segment recommendations into a single decision framework so the founding team can compare them side by side.

Recommendation	What You Gain	What You Risk	Success Metric
Discount Hunters Full Sunset	Margin recovery; clean revenue quality; budget reallocation	40–55% segment churn; short-term revenue dip in Months 6–9	Repeat purchase rate of non-promo buyers post-sunset
Mid-Tier Graduated Sunset	AOV uplift 10–20%; loyalty programme adoption; long-term CLV growth	15–25% frequency drop in transition; requires loyalty programme investment	Full-price repeat purchase rate; loyalty enrolment %
Subscribed Promo Upgrade Path	Subscription retention; promo cost embedded in programme value	No immediate margin recovery; 6–9 month payback window	Non-promo purchase ratio; subscriber churn rate
True Loyalists Protect & Amplify	Revenue stability; highest-quality acquisition pipeline; margin protection	Risk of over-reliance on small segment; requires acquisition investment	True Loyalist segment growth rate; acquisition lookalike performance

Priority Sequencing

If the brand cannot execute all four recommendations simultaneously, the recommended sequencing based on risk-reward ratio is:

Priority	Action	Rationale	Start
1	True Loyalist Protection	Zero cost, zero risk. Purely operational — remove from discount lists immediately.	Immediate
2	Discount Hunter Sunset Phase 1	Low cost, low revenue risk in Phase 1 only. Highest long-term margin payoff.	Month 1–2
3	Mid-Tier Graduated Sunset	Requires loyalty programme infrastructure but delivers the largest addressable opportunity.	Month 3 (after baseline set)
4	Subscribed Promo Upgrade	Requires subscriber programme investment. Lower urgency but important for long-term.	Month 4–6

7. Metrics & Monitoring Framework

The playbook is only as good as the feedback loop that validates it. Below is the minimum viable monitoring stack — metrics the brand should track monthly, the threshold that triggers a review, and the corrective action.

Metric	Frequency	Target	Alert Threshold & Action
Promo Redemption Rate by Segment	Monthly	<5% decline in targeted segments (Months 1–3)	>15% drop triggers Phase pause and review
Full-Price Repeat Purchase Rate	Monthly	Trending upward from Month 3 baseline	Flat or declining for 2 consecutive months = rollout pause
AOV by Archetype	Monthly	+8–15% on sunset segments by Month 9	No improvement by Month 7 = re-examine discount depth reduction
Loyalty Programme Enrolment Rate	Monthly	>20% of Mid-Tier by end Phase 2; >30% by Month 12	Below 15% at Phase 2 end = pause Phase 3 and invest in programme
Subscriber Churn Rate	Monthly	<5% monthly churn on subscriber cohort	>8% in any month = immediately review subscriber communication
True Loyalist Segment Size	Quarterly	Stable or growing as % of total base	Declining for 2 quarters = investigate acquisition quality
Revenue per Customer by Archetype	Monthly	Discount Hunter rev/customer stable or up despite lower promo	Declining faster than projected = Phase 3 gate not met
Net Promoter Score (ICP Segment)	Quarterly	NPS >50 for ideal_customer_flag = 1 cohort	NPS drop >10 points = investigate product or service quality issue
Margin per Transaction	Monthly	Upward trend from Month 5 onward	Flat margin despite AOV rise = check discount depth compliance

Reporting Cadence: Monthly metrics should be compiled into a single one-page segment health dashboard (aligned with the Power BI Founder Dashboard from Part 3). A quarterly review meeting should formally assess whether each playbook phase should proceed, pause, or be adjusted based on the gate criteria above.

8. Closing Recommendations

"The data does not show a broken brand. It shows a brand that has accidentally trained a significant portion of its customers to wait for a deal. The playbook above is the process of untraining them — and doing so in a way that protects the customers who never needed a deal in the first place."

8.1 The Three Things the Brand Must Do Now

#	Recommendation	Rationale	Timeline
01	Segment and tag the CRM immediately	Every subsequent action in this playbook depends on being able to distinguish a True Loyalist from a Discount Hunter at the point of communication. This is a one-time setup with permanent compounding value. Without it, every marketing email and promo decision is made blind.	Week 1–2
02	Stop sending discount emails to True Loyalists	This costs nothing, can be done tomorrow, and removes the single biggest risk to the brand's most valuable revenue stream. A True Loyalist who receives a discount email and waits for the next one is a conversion from organic buyer to promo-dependent buyer. That conversion is almost irreversible.	Week 1
03	Define what 'a loyal customer' means in measurable terms — and use it	The brand currently has no operational definition of loyalty. This report proposes behavioral_loyalty_score as the primary definition and ideal_customer_flag as the acquisition template. Adopting these definitions operationally — not just analytically — is what turns this from a report into a strategy.	Month 1

8.2 What This Playbook Does Not Cover

In the interest of scope integrity, three important areas are noted as outside this playbook but warranted as next steps:

- **Acquisition funnel optimisation:** The ICP is defined, but the acquisition channel analysis (which ad channels, referral sources, or organic search terms bring in ICP-type customers vs. Discount Hunters) requires acquisition-level data not present in this dataset.
- **Churn prediction modelling:** This playbook uses static segmentation. A time-series model using purchase recency, frequency, and monetary value (RFM) would allow the brand to predict which customers are trending toward dormancy before they churn — enabling proactive intervention.
- **Pricing elasticity testing:** The margin impact estimates in this playbook are directional, not modelled. A controlled price elasticity test (A/B test removing promos from a random 10% of Discount Hunters) would provide empirical churn rate data to calibrate the risk estimates above.

8.3 Final Answer to the Central Strategic Question

Is the business successfully building a loyal customer base, or is it reliant on continuous promotional activity? The honest answer is: **both, simultaneously, and insufficiently separated.** The brand has a genuine loyal nucleus — True Loyalists exist, organic markets exist, and ideal customers exist. But they are currently undistinguished from promo-dependent customers in marketing execution, which means the same budget and messaging serves both groups equally. The strategic actions to take are: separate them, protect the organics, systematically wean the promo-dependents, and use the ICP as the template for every future acquisition decision. Done with the phasing and gate criteria described above, the brand can reduce promotional spend, recover margin, and grow its loyal base — without a significant long-term revenue loss.

End of Retention Playbook — Part 4 of 4

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